

# ALPHA TRANSPORT INC.



## FINANCIAL STATEMENTS AND ACCOUNTANT'S COMPILATION REPORT

*For the Nine Months Ended March 31, 2025*





Alpha Transport Inc.  
PO Box 16615  
Salt Lake City, UT 84116

Management is responsible for the accompanying financial statements of Alpha Transport Inc. (a corporation), which comprise the balance sheet as of March 31, 2025, and the related statement of income and expense for the nine months then ended in accordance with accounting principles generally accepted in the United States of America. We have performed a compilation engagement in accordance with Statements on Standards for Accounting and Review Services promulgated by the Accounting and Review Services Committee of the AICPA. We did not audit or review the financial statements nor were we required to perform any procedures to verify the accuracy or completeness of the information provided by management. Accordingly, we do not express an opinion, a conclusion, nor provide any form of assurance on these financial statements.

Generally accepted accounting principles require that a provision for uncollectible accounts receivable be recorded. The Company has not recorded such a provision for uncollectible accounts receivable in the accompanying financial statements, and the effects of this departure from generally accepted accounting principles have not been determined.

Management has elected to omit substantially all of the disclosures and the statement of cash flows required by accounting principles generally accepted in the United States of America. If the omitted disclosures and the statement of cash flows were included in the financial statements, they might influence the user's conclusions about the Company's financial position, results of operations, and cash flows. Accordingly, the financial statements are not designed for those who are not informed about such matters.

*Larson & Company PC*

Salt Lake City, Utah  
May 30, 2025

Alpha Transport Inc.  
Balance Sheet  
March 31, 2025

Assets

Current assets

|                                  |                  |
|----------------------------------|------------------|
| Cash in bank                     | \$ 207           |
| Petty cash                       | 705              |
| Short term investments at market | 34,255.54        |
| Holmes Murphy cash collateral    | 955,169          |
| Accounts receivable              | 2,707,587        |
| Inventory - tires                | 16,850           |
| Inventory - truck parts          | 357,327          |
| Inventory - fuel                 | 62,320           |
| Prepaid insurance                | 238,645          |
| Clearing accounts                | 61,699           |
| Total current assets             | <u>4,434,766</u> |

Property, plant and equipment

|                                         |                     |
|-----------------------------------------|---------------------|
| Trucks and trailers                     | 36,143,240          |
| Light trucks and construction equipment | 327,852             |
| Leasehold improvements                  | 1,235,278           |
| Office equipment                        | 891,284             |
| Shop equipment                          | 532,009             |
| Blue Sky/goodwill                       | 3,193,182           |
| Less accumulated depreciation           | <u>(20,409,007)</u> |
| Net property, plant and equipment       | 21,913,838          |

|                       |               |
|-----------------------|---------------|
| Income tax receivable | 991,443       |
| Captive investment    | <u>25,000</u> |

|              |                             |
|--------------|-----------------------------|
| Total assets | <u><u>\$ 27,365,047</u></u> |
|--------------|-----------------------------|

Alpha Transport Inc.  
Balance Sheet  
March 31, 2025

Liabilities & Stockholders' Equity

Current liabilities

|                                             |                  |
|---------------------------------------------|------------------|
| Cash overdraft                              | \$ 1,583,837     |
| Accounts payable                            | 1,598,980        |
| Wages payable                               | 435,312          |
| Payroll and sales taxes payable             | 2,646            |
| Vacation payable                            | 215,220          |
| Property tax payable                        | 22,800           |
| Mileage tax payable                         | 109,720          |
| Deferred tax liability                      | 2,648,270        |
| Current portion treasury stock purchase     | 463,264          |
| Current portion notes and contracts payable | 2,520,763        |
| Total current liabilities                   | <u>9,600,813</u> |

Long term liabilities

|                                      |                   |
|--------------------------------------|-------------------|
| Notes and contracts payable          | 9,775,601         |
| Note payable treasury stock purchase | 4,550,648         |
| Total long term liabilities          | <u>14,326,249</u> |

Total liabilities 23,927,062

Stockholders' equity

|                                                                                                  |                  |
|--------------------------------------------------------------------------------------------------|------------------|
| Capital stock authorized 500,000 shares of \$1.00 par value; 8,280 shares issued and outstanding | 8,280            |
| Beginning retained earnings                                                                      | 4,854,469        |
| Current retained earnings                                                                        | (1,424,765)      |
| Total stockholders' equity                                                                       | <u>3,437,985</u> |

Total liabilities & stockholders' equity \$ 27,365,047

Alpha Transport Inc.  
Statement of Income and Expense  
For the Nine Months Ended March 31, 2025

|                                   |                              |
|-----------------------------------|------------------------------|
| Income                            |                              |
| Freight revenue and shop sales    | \$ 32,967,732                |
| Land and equipment rental         | 66,990                       |
| Interest income                   | 17,782                       |
| Gain (loss) on investment         | (220,398)                    |
| Investment income unrealized      | 3,644                        |
| Investment income realized        | 5,840                        |
| Total income                      | <u>32,841,590</u>            |
| Cost of sales                     | <u>1,114,299</u>             |
| Gross profit                      | 31,727,291                   |
| Expense                           |                              |
| Salaries, wages and related taxes | 15,641,675                   |
| Operating expenses                | 11,100,752                   |
| Administrative expenses           | 2,997,891                    |
| Depreciation                      | 3,160,250                    |
| Interest                          | 766,735                      |
| Total expense                     | <u>33,667,304</u>            |
| Net income from operations        | (1,940,012)                  |
| Other income                      |                              |
| Income tax expense                | <u>(515,248)</u>             |
| Net income after tax              | <u><u>\$ (1,424,765)</u></u> |